

The Psychology of Money — Mastery Quiz

Author: Morgan Housel • 12 multiple-choice questions • Answer + explanation

Instructions: Choose the best answer before checking the answer and explanation.

1. *What does the book emphasize about personal finance?*

- A. It is purely mathematical
- B. Behavior and personal history strongly influence decisions
- C. Only experts can invest
- D. Income guarantees wealth

Correct answer: B

Why: People make financial decisions through the lens of their experiences and emotions.

2. *What is the key difference between being rich and being wealthy?*

- A. Rich means having no income
- B. Wealth is resources not spent and available for the future
- C. Wealth means luxury spending
- D. They are identical

Correct answer: B

Why: Wealth is often invisible because it consists of money retained for future options.

3. *Why is compounding powerful?*

- A. It requires perfect timing
- B. Returns can build on previous returns over long periods
- C. It guarantees profits
- D. It works only for one year

Correct answer: B

Why: Long periods allow repeated growth to accumulate.

4. *What does 'room for error' mean?*

- A. Expecting perfect forecasts
- B. Building a margin of safety for uncertainty
- C. Taking maximum leverage
- D. Avoiding saving

Correct answer: B

Why: Financial plans should survive events that were not predicted.

5. What is the value of knowing 'enough'?

- A. It encourages endless risk
- B. It prevents unnecessary pursuit of more
- C. It eliminates saving
- D. It guarantees high returns

Correct answer: B

Why: A defined stopping point can protect freedom and reduce reckless risk-taking.

6. What is one major purpose of wealth?

- A. Status
- B. Control over time and choices
- C. Luxury only
- D. Social comparison

Correct answer: B

Why: Householder emphasizes the freedom and flexibility money can provide.

7. Why should investors avoid catastrophic mistakes?

- A. They look bad
- B. Ruin can permanently stop compounding
- C. They reduce taxes
- D. They increase volatility

Correct answer: B

Why: Survival allows the benefits of long-term compounding to continue.

8. What can high income fail to produce?

- A. Any lifestyle
- B. Wealth, if spending rises with income
- C. Taxes
- D. Choices

Correct answer: B

Why: Income becomes wealth only when some of it is retained and allocated productively.

9. Why can two smart people make different financial decisions?

- A. One is always wrong
- B. Their experiences and goals differ
- C. Mathematics changes
- D. Markets are always predictable

Correct answer: B

Why: Financial behavior is shaped by personal circumstances and experiences.

10. What is a good response to an uncertain future?

- A. Pretend it is predictable
- B. Build flexibility and buffers
- C. Use maximum debt
- D. Stop investing entirely

Correct answer: B

Why: Resilience comes from planning for uncertainty rather than assuming certainty.

11. What is more important than predicting every market move?

- A. Staying in the game
- B. Watching prices every minute
- C. Perfect timing
- D. Maximum leverage

Correct answer: A

Why: Long-term participation and avoiding ruin are central to compounding.

12. What is the deepest financial goal presented by the book?

- A. Looking rich
- B. Greater control over your time
- C. Maximum consumption
- D. Winning every investment

Correct answer: B

Why: Money is most valuable when it increases autonomy and optionality.

Scoring guide: 10–12 = strong mastery • 7–9 = good understanding • 4–6 = review the summary • 0–3
= reread the core concepts.